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Mission critical software

Defensible moats versus AI disruption risk

03 MARCH 2026

Global IT spend surpasses USD 6tr

- USD 6.15tr total in 2026, +10.8% YoY: Worldwide IT spending is expected to reach USD6.15 trillion in 2026
- Software up ~15% to USD 1.43tr: Gartner expects software to be the second fastest growing tech category, with spending rising nearly 15% year over year to USD1.43 trillion.
- GenAI model spend +80.8%: Projections for generative AI model spending in 2026 remain unchanged, with growth expected at 80.8%.

Category	Spending in 2025 (in millions of dollars)	Growth in 2025 (in percent)	Spending in 2026 (in millions of dollars)	Growth in 2026 (in percent)
Data center systems	496,231	48.9	653.403	3
Terminals	788,335	9.1	836,417	6.1
Software	1,249,509	11.5	1,433,633	13.3
IT services	1,717,590	6.4	1,866,856	8.7
Communication services	1,303,651	3.8	1,365,184	4.7
IT total	**5,555,316**	**10.3**	**6,155,493**	**10.8**

Source: Gartner, February 2026

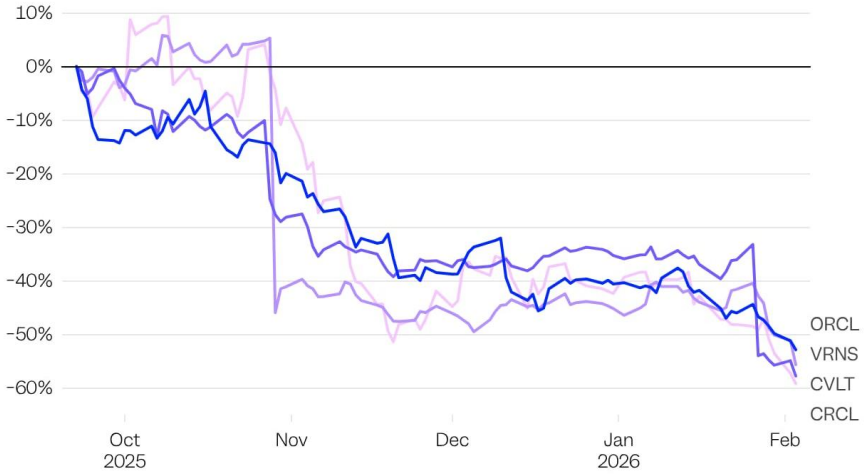
A 47% multiple compression over past 12 months

Software has rerated from 51x to 27x P/E, moving from the most expensive industry in equities to the middle of the pack. Four sectors now trade at a higher multiple.

Industry	2026 P/E	2027 P/E	2025 P/E as of 1Y ago
Media & Entertainment	34.8x	27.1x	33.4x
Automobiles & Components	31.7	24.7	22.8
Semiconductors & Semiconductor Equipment	31.5	23.9	28.4
Capital Goods	30.9	23.6	24.7
Software & Services	**26.9**	**22.1**	**50.6**
Real Estate Management & Development	24.5	20.0	38.0
Consumer Services	23.7	20.2	33.5
Materials	23.4	17.1	27.9
Pharmaceuticals, Biotechnology & Life Sciences	23.3	18.0	30.8
Technology Hardware & Equipment	22.7	19.1	22.1
Transportation	22.1	18.0	19.1
Consumer Staples Distribution & Retail	21.5	19.3	22.0
Consumer Discretionary Distribution & Retail	21.5	18.0	28.1
Commercial & Professional Services	19.8	17.6	23.7
Health Care Equipment & Services	19.6	17.2	24.9
Household & Personal Products	19.1	17.7	23.1
Utilities	19.0	16.5	19.7
Energy	18.8	15.2	14.7
Consumer Durables & Apparel	18.2	15.3	19.3
Food, Beverage & Tobacco	17.4	15.5	18.8
Financial Services	16.4	13.9	21.9
Telecommunication Services	13.0	11.9	14.3
Banks	12.1	10.7	12.6
Insurance	12.0	11.1	13.7

Source: Goldman Sachs, February 2026

Some of the worst returns in software stocks since September 2025 high



Source: Bloomberg

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Business case

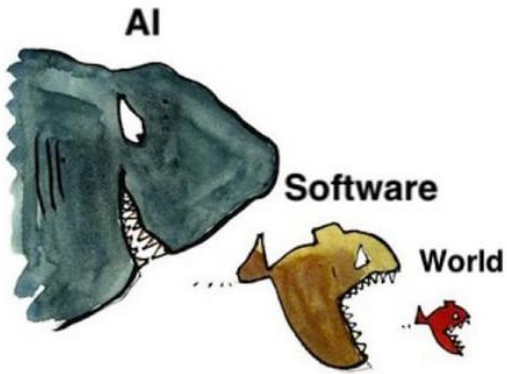
The market is applying an indiscriminate “AI disruption” discount across software, underweighting the resilience of systems-of-record with high switching costs, deep workflow integration, and multi-year contractual revenue.

The narrative arc

From software dominance to AI disruption, two quotes that frame the market's fear.

Wall Street Journal, August 2011

NVIDIA GTC, May 2017



AI versus SaaS: Bull vs Bear case

Bull Case

1. **Sell-off was sentiment, not fundamental**
   SAP, Oracle, and ServiceNow fell 26–40% while posting accelerating subscription growth. The market repriced the narrative, not the numbers.

2. **AI is an upsell, not a replacement**
   Salesforce Agentforce at $800M ARR (+169% YoY) shows AI monetising on top of existing platforms. The AI layer expands ARPU.

3. **Regulatory spend provides a valuation floor**
   NIS2 enforcement is active across the EU in 2026 and SEC cyber rules are live in the US. Cybersecurity has the most defensible near-term revenue visibility.

Bear Case

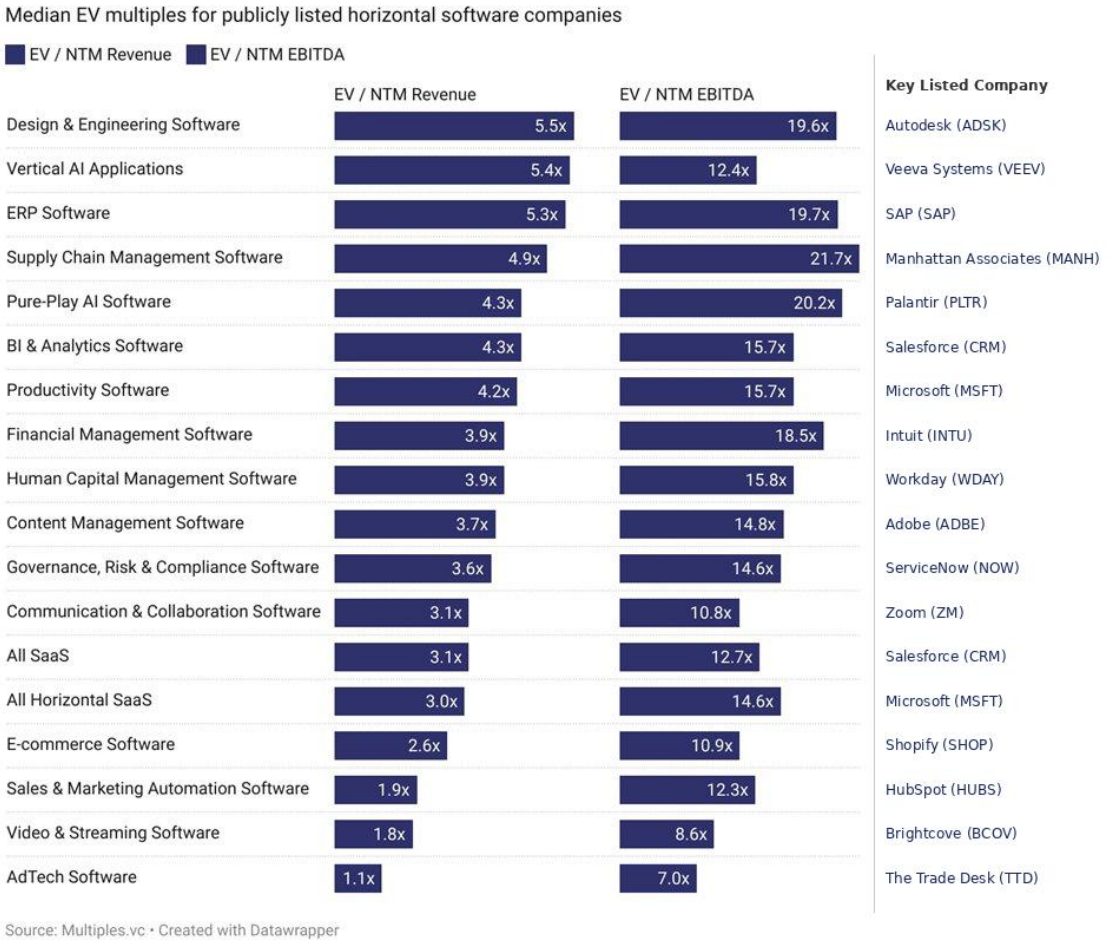
1. **AI is deflationary for software pricing**
   Building a meaningful SaaS product now costs under $10K in compute. Bespoke alternatives will erode incumbent ARPU before AI upsell revenue fills the gap.

2. **Seat-based models are structurally broken**
   Hiring freezes and layoffs directly reduce seats, capping expansion revenue and triggering downsell in CRM, ITSM, and workflow tools.

3. **Fragmented data is the incumbents' trap**
   AI agents are blind when data sits across 50 disconnected apps. This hands a clean opening to unified AI-native challengers.

Horizontal software is the most vulnerable

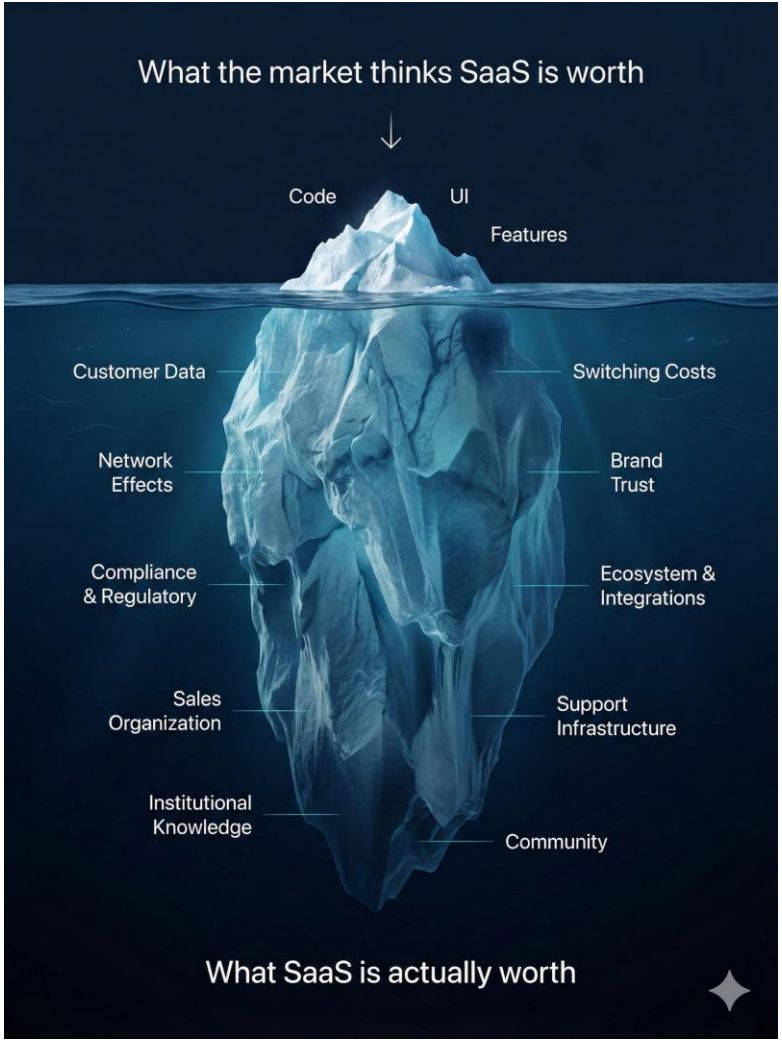
- Horizontal software is designed to be used across a wide variety of industries because it solves a general business problem rather than a niche one. It focuses on broad functionality (like bookkeeping or email) that is universal to almost any type of company.
- Vertical software (also known as "niche" software) is purpose-built for a specific industry or "vertical," such as healthcare, construction, or retail. It includes specialized features and workflows that are only relevant to that particular field.
- ERP stands for Enterprise Resource Planning: Instead of having separate programs for accounting, sales, and warehouse management that don't talk to each other, an ERP brings them all into one "source of truth."



Source: Multiples.vc, November 2025

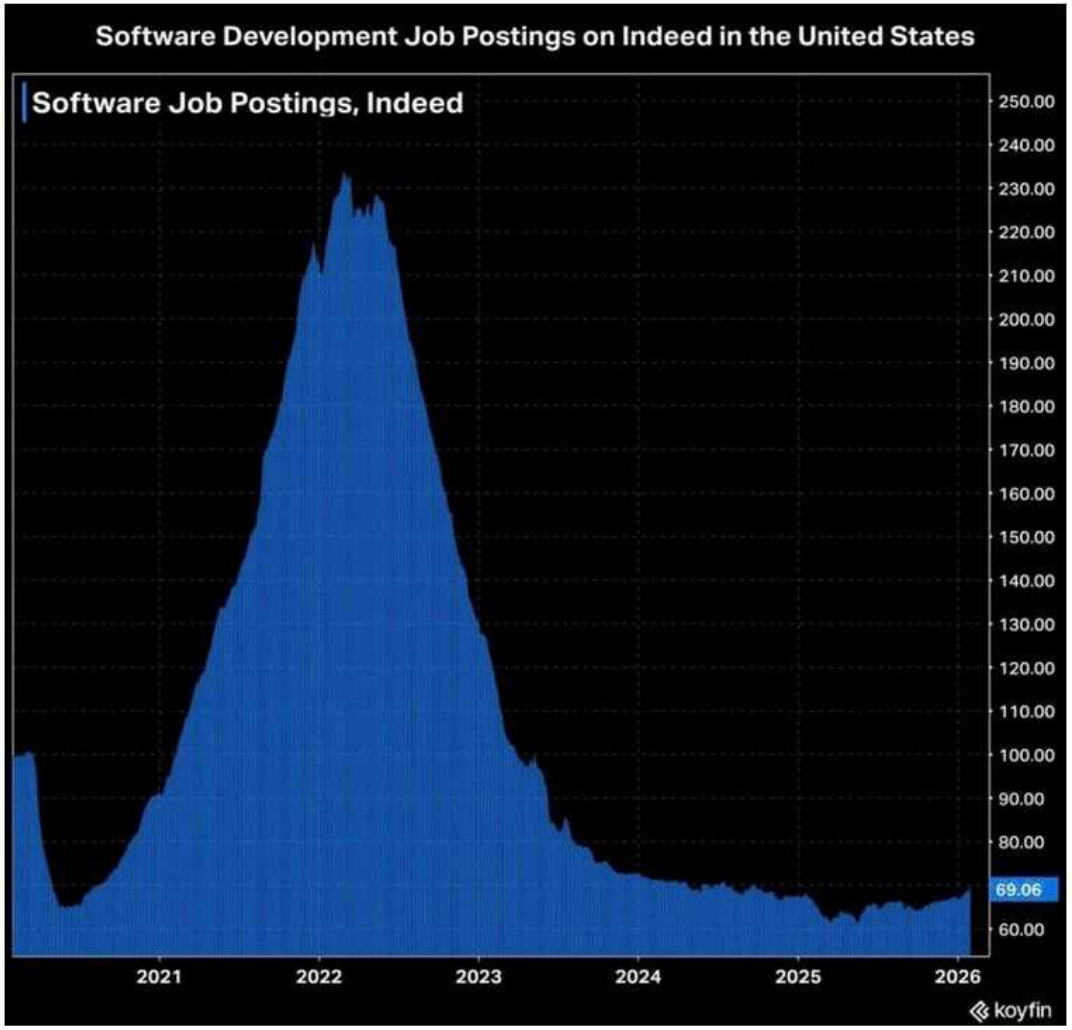
But SaaS is not just a bundle of code

- The "SaaSpocalypse" thesis reduces software companies to lines of code, ignoring everything below the surface.
- The real moats are customer networks, integration ecosystems, proprietary data, institutional trust, and sales organizations.
- If code is cheap for everyone, the winners will be the companies that are great at everything except the code.



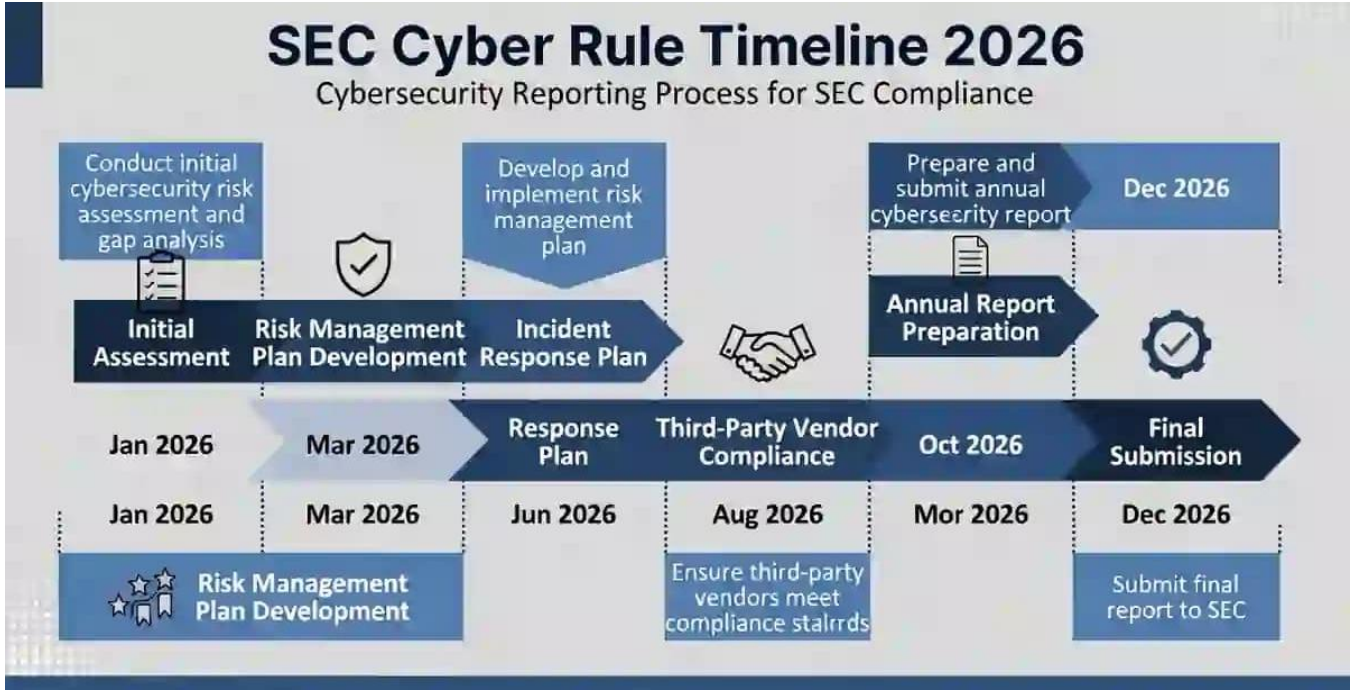
SaaS companies saw it coming

Software job postings are down ~70% from 2022 peak.



Special case: Cybersecurity

- Being compliant isn’t optional it is mandatory. No room for mistake.
- AI-driven attacks up 72% YoY, detection windows collapsed to 11 minutes thus it accelerates platform security demand, doesn't commoditize it



What to look for

net retention trends

What to look for

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Cape color palette

Reference these colors when you want access to the full Cape color palette

To use the the Eyedropper tool in PowerPoint, select the object you want to color, then go to Shape Fill or Text Fill on the Format tab and click the Eyedropper tool.
You can then click on any color within your presentation, an image, or even outside the presentation window (by clicking and dragging) to apply that color to the selected object.

You can also copy/paste HEX codes by clicking one of the colors below and going to Shape format > Shape fill > arrow down > more fill colors… > HEX color

Main colors

Main colors (shades)

Secondary colors

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